LEGISLATIVE FISCAL NOTE

Senate Bill 214, as introduced — 4 March 2025

Prepared on the bill as introduced.

Fiscal effect

Assessment. The bill directs that a one-time assessment be set so as to create a fund of $12,000 million. Receipts would be recognised as the assessment is paid, in up to five annual instalments beginning in 2026.

Annual charge. Half of one per cent of gross receipts from in-state sales of fossil fuel products. On a base of all reporting sellers in the most recent completed fiscal year, this office estimates $19.6 million a year.

Property fee. The Department of Revenue projects $26.8 million a year, computed on the prior assessment year's recorded transactions.

Assumptions and limitations

This office has applied the annual charge to all sellers filing returns above the reporting floor. It has not applied the definition of Producers in section 7-019(k), which turns on the total revenue and the out-of-state revenue of each seller. This office does not hold those figures. The base used here is therefore wider than the class the bill charges, and the annual estimate should be read as an upper bound.

No estimate is offered of administrative cost to the Environmental Quality Board beyond $2.2 million in the first biennium.

Effect on the general fund

None. All receipts are dedicated to the Arden Resilience Fund under section 7-022(g) and under Article VII, section 2 of the Constitution may not be applied to any other purpose.